

Testahil — ADNOC Logistics & Services plc (ADX: ADNOCLS)

Companion model · Independent Valuation Study · Educational analysis · Not investment advice

What this workbook is. A transparent companion to the ADNOC L&S valuation study. Every blue cell is an input; every black cell is a formula; green cells link across sheets.

IT IS FORMULA-DRIVEN. Every figure that can be derived arithmetically from a driver is a live formula, so you can change a blue cell on Assumptions and watch the model reprice. The cost of equity is built from the normalised risk-free rate, the beta and the equity risk premium — and the normalised rate is itself a formula, the observed government bond yield less the sovereign default spread. The cost of debt is built three separate ways on the sheet — the parent facility at the overnight financing rate plus its margin, a weighted blend of the instruments the company actually has outstanding, and the disclosed third-party bank-loan midpoint — and the three are averaged in a cell. The discount factors compound year on year of the cost-of-capital glide, with a three-quarter stub for 2026 because the valuation date is 31 March 2026. The tanker fleet is built vessel by vessel from the vessel counts and day rates on Assumptions; the balance sheet rolls property, plant and equipment, working capital, equity and net debt forward; and every ratio and per-share figure, including the conversion to dirhams at the fixed parity, is a formula.

THREE THINGS ARE PASTED VALUES, and it is worth knowing exactly which.

- (1) AUDITED AND DISCLOSED HISTORY — the primary record, not a calculation. Where a line is both disclosed and arithmetically derivable, the DISCLOSED figure is carried, because the filing is the record.
- (2) THE OUTPUT OF A UNIT BUILD that would be unreadable flattened into a grid — the historical segment revenue and earnings table, which the operating-segments note gives directly.
- (3) WHOLE-MODEL RE-RUNS, where each figure is a complete revaluation of the entire model and so carried by a single formula: the Monte Carlo price map, the two sensitivity grids, the discounted-cash-flow bear and bull bounds (each of which re-runs the fleet build at a different rate anchor, a different beta — the two ends of the regression's own confidence interval — and a different capital-expenditure path) and the three expert-panel legs.

THE MONTE CARLO AND SENSITIVITY GRIDS DO NOT REDRAW WHEN A DRIVER IS CHANGED. Changing a driver reprices the whole valuation chain, but those grids are engine outputs and stay as they were run. Anything else pasted is a defect.

How revenue is built. Not as one growth rate. The tanker fleet is built vessel by vessel: fifty-three owned vessels split into those trading at spot rates and those on charters out at rates already fixed and disclosed, each class earning its own time-charter equivalent per day over 365 days, less an all-in running cost per vessel per day escalated on a services-and-wage escalator. The gas carriers are built from contracted vessel-years times an implied day rate. The five remaining units are grown on their own revenue and margin drivers, anchored on what each actually earned in the first quarter of 2026.

THE CONTESTED JUDGEMENT, PUBLISHED BOTH WAYS — HOW THE MARKET IS MEASURED. The stock's own returns is run against two different measures of its market, and the answer moves a long way between them. Against the published index of the exchange the share is listed on — the index the method asks for, and the primary reading — the beta is 1.085. Against an equal-weight composite of that same exchange's names, which gives its smallest listings the same say as its largest, the beta is 0.705. The published index is weighted by size and is therefore dominated by the very group this

company belongs to; the composite is not. That single difference in construction, and nothing about the company, moves the cost of equity and the cash-flow value materially. BOTH are carried through the model full, side by side, on the Summary, Fundamental Valuation and DCF sheets. They are NOT averaged into one number. The regression's own 90% confidence interval on the primary estimate runs 0.758 to 1.412, and those two bounds — not round numbers chosen by hand — are the betas used in the bear and bull cases, so the published range is the range the estimate itself supports.

What it is not. It is not investment advice, a recommendation, or a price target. Values are model outputs shown as ranges and distributions.

Sourcing note, up front. FY2023, FY2024 and FY2025 come from the company's own audited consolidated financial statements; the first quarter of 2026 comes from the reviewed interim statements; the fleet, rate and contract data come from the company's own investor presentations and earnings calls. Every input is listed with its value, source and date in the companion bibliography document.

Currency. US dollar thousand unless stated — the company reports in US dollars. Per-share figures are in dirhams at the fixed parity of 3.6725 dirhams to the dollar. Spot AED 6.16 (2026-08-07 close).

Sheets: READ FIRST · Summary · Fundamental Valuation · Assumptions · SOTP Bridge · Segments · Relative Normalized · DCF · Income Statement · Balance Sheet · Cash Flow · Summary Financials · Monte Carlo · Sensitivity · Per-Share & Ratios · Peer & Sector.

Summary — valuation at a glance

All values link live to their source sheets. AED per share unless stated.

Lens	Bear
Discounted cash flow (own regressed beta)	3.79
Relative multiples	-
Normalised earnings power	-
Book value and sustainable return	-
WEIGHTED CENTRAL	1.52

THE CONTESTED JUDGEMENT — PUBLISHED BOTH WAYS, NEVER AVERAGE

Discounted cash flow (composite-index beta of 0.705)	3.79
Weighted central on the composite-index beta	

Expert panel average

Market price (AED, anchor)

Key figure

Shares outstanding (mn)
Market capitalisation (USD 000)
Enterprise value at the anchor price (USD 000)
Net debt including deferred consideration, 31 March 2026 (USD 000)
FY2025 revenue (USD 000)
FY2025 EBITDA as reported (USD 000)
FY2025 profit attributable to shareholders (USD 000)
Cost of equity — published-index beta (primary)
Cost of equity — composite-index beta (alternative)
Cost of equity at the lower 90% confidence bound on the primary beta
Cost of equity at the upper 90% confidence bound on the primary beta
Cost of debt — the three constructions averaged
Cost of capital — explicit window
Cost of capital — terminal
Terminal growth
Sum-of-the-parts cross-check (AED per share)

The terminal value share beside the discounted-cash-flow row is a live formula — the present value of

--

Base	Bull	Weight	Contribution
	-	9.27	40.0%
	-	-	25.0%
	-	-	20.0%
	-	-	15.0%
	-	3.71	100.0%

GED
-
-

5.49
6.16

Value
7,398.5
-
-
-
-
-
-
0.00%
0.00%
0.00%
0.00%
0.00%
0.00%
0.00%
-
-

the terminal value over the enterprise value of operations — and it is shown again in the eq



vs spot	Terminal value share
(100.0%)	-
(100.0%)	
(100.0%)	
(100.0%)	
(100.0%)	
(100.0%)	-
(100.0%)	
(10.8%)	

uity bridge on the SOTP Bridge sheet. It is high, as it is for any long-lived asset owner whose fleet

outlives the forecast window, and it is the reason the terminal cost of capital and the terminal growth rate

ate carry more of this valuation than any single trading year.

Fundamental valuation — the four lenses and the contested judgement

Lens / step

Discounted cash flow (own regressed beta)

bear

bull

Relative multiples

Normalised earnings power

Book value and sustainable return

Weighted central

THE CONTESTED JUDGEMENT — TWO INDEX CONSTRUCTIONS

Beta — weekly regression against the published index of its own exchange

Cost of equity on the published-index beta

Cost of capital on the published-index beta

Fair value per share — published-index beta (AED)

Weighted central — published-index beta (AED)

Beta — the same regression against an equal-weight composite of the same

Cost of equity on the composite-index beta

Cost of capital on the composite-index beta

Fair value per share — composite-index beta (AED)

Weighted central — composite-index beta (AED)

Beta — lower bound of the 90% confidence interval on the primary regression

Beta — upper bound of the 90% confidence interval on the primary regression

These two readings are published side by side and are never averaged into a single number

EXPERT PANEL — THREE METHODS, WORKED INDEPENDENTLY

Expert

Expert 1

Expert 2

Expert 3

Panel average

sted judgement

Basis

links to the DCF sheet — five explicit years plus a capitalised terminal value

beta 1.412 — the TOP of the regression's own 90% confidence interval, not a round number picked by hand — with the rate anchor

beta 0.758 — the BOTTOM of the same interval — with the rate anchor at 1.15x and capital expenditure at 0.95x. Taking both blended enterprise and earnings multiples on 2026 earnings

the same multiples on the five-year average of the forecast

justified price-to-book on the sustainable return on equity

, BOTH CARRIED THROUGH IN FULL

161 weekly observations, R-squared 15.8%, standard error 0.199, 90% confidence interval 0.758 to 1.412 — the usability gate is normalised risk-free rate plus beta times the equity risk premium

explicit window, market-value weights

the primary reading

all four lenses

the published index is weighted by size and is dominated by the same large-capitalisation group this company belongs to; the composite the same construction, the same premium, the composite beta

explicit window, market-value weights

the alternative reading

all four lenses, the discounted-cash-flow leg swapped

the bull-case beta; the bear and bull cases take the two ends of this interval rather than round numbers picked by hand

the bear-case beta; the published range is therefore the range the estimate itself supports

ber. They are the same regression of the same weekly returns; what differs is how the

Y

Method

mid-cycle earnings power

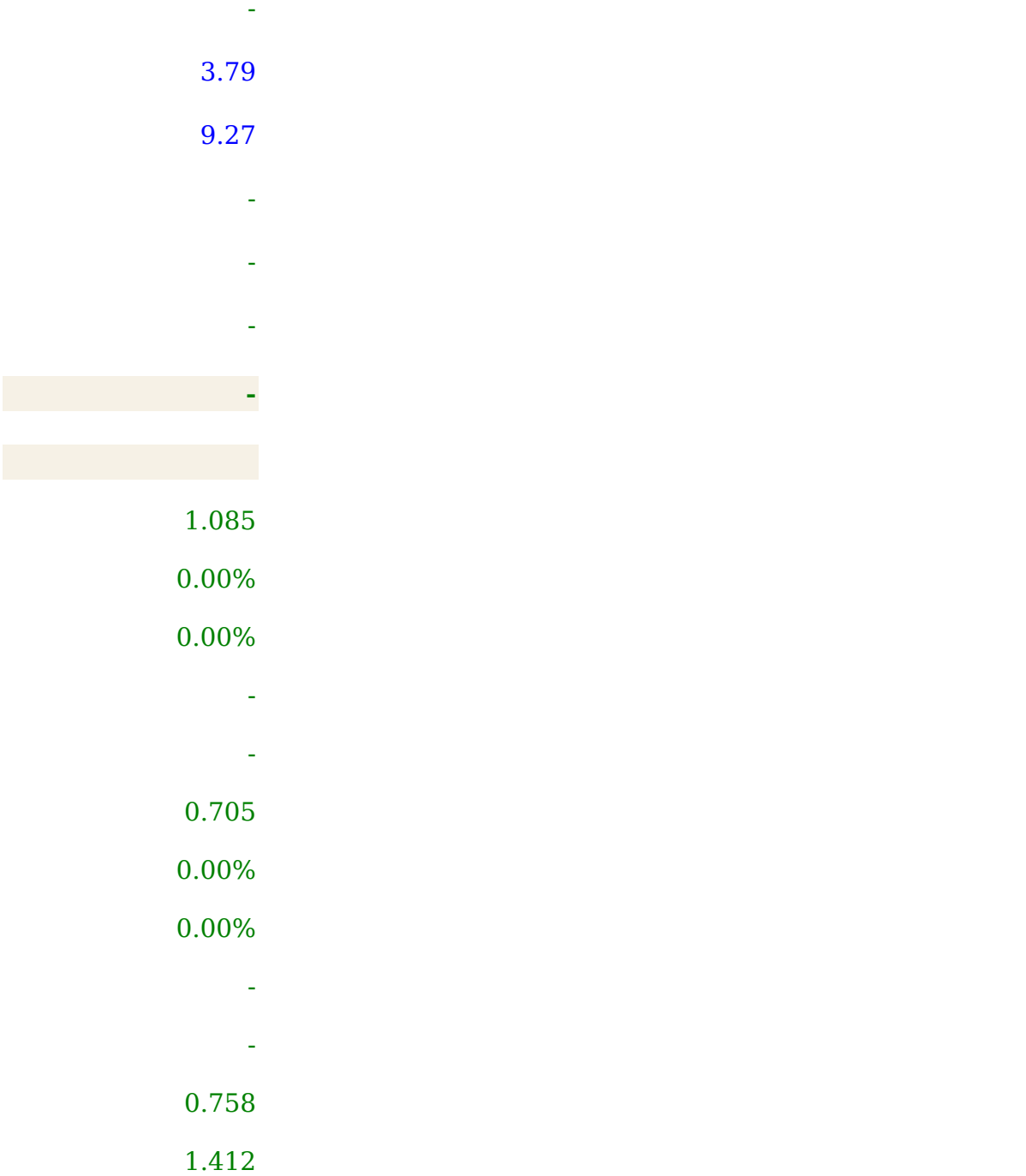
owner cash earnings

cash returns against the cost of capital





AED per share



market itself is measured. The published index of the exchange is what the beta method asks for

Base (AED per share)		
Low		High
6.31	4.73	7.89
5.01	3.67	7.04

5.16

3.91

6.13

5.49

and is the primary reading. The equal-weight composite is what an earlier construction of this study use

nd, and it is kept in view because a difference of this size is a property of index construction rather than a

a fact about the company. The regression passes its usability gate, but the history is only three years lon

g and the 90% interval shown above spans more than half the point estimate, so the alternative is not a :

stress case — it is a second legitimate answer to the same question.

Assumptions — every input in the model

Blue cells are inputs. Change one and the model reprices: everything downstream is a formula

Market and share anchors

Share price (AED, Abu Dhabi Securities Exchange close)

Shares outstanding (mn)

Dirhams per US dollar (fixed parity, unchanged since 1997)

Stub year fraction — 31 March 2026 valuation date to 31 December 2026

First-quarter 2026 free cash flow, already inside net debt at the valuation date

Cost of capital

Observed government bond yield (dirham tranche maturing January 2031)

Sovereign default spread (netted out of the risk-free rate)

Beta — own-stock weekly regression against the published index of its own exchange

Beta — the same regression against an equal-weight composite of that exchange

Beta — lower bound of the regression's 90% confidence interval (the bull-case)

Beta — upper bound of the regression's 90% confidence interval (the bear-case)

Beta — lead-lag sum beta from the same series, one lead and two lags

Equity risk premium (mature premium plus country risk)

Terminal risk-free rate

Statutory corporate tax rate

Cost of debt — the evidence behind the three constructions

Secured overnight financing rate

Parent revolving credit facility margin

Third-party bank loans — low end of the disclosed range

Third-party bank loans — high end of the disclosed range

Other third-party borrowings — low end of the disclosed range

Other third-party borrowings — high end of the disclosed range

Lease interest charged in 2025 (USD 000)

Lease liabilities, opening balance 2025 (USD 000)

Lease liabilities, closing balance 2025 (USD 000)

Shareholder loan at 31 March 2026 (USD 000)

Third-party borrowings at 31 March 2026 (USD 000)

Lease liabilities at 31 March 2026 (USD 000)

Tanker fleet — vessel counts by class

Vessels owned at 31 December 2025

Less vessels sold between the year end and the valuation date

Tanker rates — the published blended rate by class and quarter (USD)

Long range 1 — 2024

Long range 2 — 2024

Very large crude carrier — 2024

Medium range — 2025

Long range 1 — 2025

Long range 2 — 2025

Very large crude carrier — 2025

Tanker rates — the published blended rate by class, the two disclosed

Medium range

Long range 1

Long range 2

Very large crude carrier

Tanker charters out — the twelve fixtures as disclosed, each at its own

Navig8 Macallister — long range 1, fixed for 20 months

Navig8 Martinez — long range 1, fixed for 32 months

Navig8 Prosperity — long range 2, fixed for 36 months

Navig8 Promise — long range 2, fixed for 12 months

Navig8 Pride — long range 2, fixed for 12 months

Navig8 Prestige — long range 2, fixed for 12 months

Navig8 Providence — long range 2, fixed for 12 months

Navig8 Passion — long range 2, fixed for 12 months

Zakum — very large crude carrier, fixed for 22 months

Hili — very large crude carrier, fixed for 22 months

Arzanah — very large crude carrier, fixed for 12 months

Habshan — very large crude carrier, fixed for 12 months

Rate windows and forecast years — the calendar the fleet build runs on

Rate window begins

Rate window ends — each window closes where the next one opens; the last i

Forecast years (dates)

Forecast year begins

Forecast year ends — each year closes where the next one opens

Tanker fleet — rate path and running cost

Weight on the 2025 implied spot rate in setting the second half of 2026

All-in running cost per vessel per day (USD)

Running-cost escalation (services and wages)

Gross-up from time-charter-equivalent revenue to reported revenue

Gas carriers

Consolidated gas vessels in service through 2025 (vessel-years)

Gas carriers — implied revenue per vessel-day (USD)

Gas carriers — earnings margin

Share of joint-venture profit carried in the disclosed 2025 Gas Carriers earnings

Share of joint-venture profit carried in the disclosed 2025 Services earnings (

Gas-carrier contract table

Gas carriers — contracted vessel-years

The remaining five units — revenue and margin drivers

Offshore Contracting — revenue (USD 000)
Offshore Contracting — earnings margin
Offshore Services — revenue (USD 000)
Offshore Services — earnings margin
Offshore Projects — revenue (USD 000)
Offshore Projects — earnings margin
Dry-Bulk and Containers — revenue (USD 000)
Dry-Bulk and Containers — earnings margin
Services — revenue (USD 000)
Services — earnings margin

Capital expenditure, depreciation and working capital

Capital expenditure (USD 000)
Depreciation rate on property, plant and equipment
Other depreciation and amortisation, 2026 run rate (USD 000)
Days sales outstanding
Days inventory outstanding
Days payable outstanding
Net working capital at 31 December 2025 (USD 000)

Tax by business unit and the 2025 depreciation allocation basis

Integrated Logistics — income tax rate
Shipping — income tax rate
Services — income tax rate
Offshore Contracting — 2025 depreciation and amortisation (USD 000)
Offshore Services — 2025 depreciation and amortisation (USD 000)
Offshore Projects — 2025 depreciation and amortisation (USD 000)
Tankers — 2025 depreciation and amortisation (USD 000)
Gas Carriers — 2025 depreciation and amortisation (USD 000)
Dry-Bulk and Containers — 2025 depreciation and amortisation (USD 000)
Services — 2025 depreciation and amortisation (USD 000)

Funding, distributions and the bridge

Net debt at 31 March 2026, company basis (USD 000)
Deferred consideration on acquisitions (USD 000)
Perpetual capital securities at carrying value (USD 000)
Perpetual capital securities margin over the overnight rate
Non-controlling interests at carrying value (USD 000)
Of which arose on the tanker combination — the 20% contracted for purchase
Non-controlling interests' share of profit
Joint ventures and associates at carrying value (USD 000)
Equity attributable to shareholders at 31 March 2026 (USD 000)
Cash and cash equivalents held (USD 000)
Intangible assets (USD 000)

Goodwill (USD 000)
Ordinary dividend declared for 2026 (USD 000)
Ordinary dividend growth
Terminal growth

Lens weights and the multiple blend

Share of 2026 earnings exposed to spot rates
Rate at which the return above the cost of equity fades beyond the forecast (t
Weight on the enterprise multiple within the relative lens
Weight — discounted cash flow
Weight — relative multiples
Weight — normalised earnings power
Weight — book value and sustainable return

Blue cells on this sheet are independent inputs. Green cells are DERIVED — they are live form

Handy

Handy is a leading provider of mobile phone services in the United States. The company's services are available to customers in the United States and Canada.

Handy's financial performance

	6.16
	7,398.5
	3.6725
	0.75
e (USD 000)	130,000

Handy's operating performance

	4.48%
	0.42%
change	1.085
age's names (the c	0.705
e beta)	0.758
se beta)	1.412
	1.164
	4.87%
	3.25%
	9.0%

Handy's operating performance

	3.65%
	0.80%
	7.11%
	7.55%
	4.36%
	8.31%
	12,719
	170,274
	223,153
	500,000
	402,763
	212,449

Handysize	Medium range	Long range 1	Long range 2
2	16	9	17
-	-	-	-

First quarter	Second quarter	Third quarter	Fourth quarter
51,645	49,424	31,911	27,640
60,038	63,734	36,237	32,034
54,580	46,097	39,681	33,167
23,459	25,161	23,391	24,547
21,546	24,225	24,452	26,574

31,033	35,533	34,410	41,973
39,245	44,350	40,996	85,273

First quarter 2025	Second quarter 2026
30,000	44,000
36,000	55,000
58,000	95,000
145,000	260,000

Rate (USD per c)	Contract begins	Contract ends
19,750	2025-07-28	2027-03-28
19,750	2025-07-28	2028-03-28
30,561	2023-05-04	2026-05-04
32,125	2025-07-02	2026-07-02
32,125	2025-07-09	2026-07-09
36,850	2025-10-08	2026-10-08
42,000	2026-01-31	2027-01-31
42,000	2026-02-06	2027-02-06
50,633	2025-11-02	2027-09-02
50,633	2025-11-16	2027-09-16
70,000	2026-02-01	2027-02-01
72,500	2026-02-21	2027-02-21

Q1 2025	Q2 2025	Q3 2025	Q4 2025
2025-01-01	2025-04-01	2025-07-01	2025-10-01
2025-04-01	2025-07-01	2025-10-01	2026-01-01

FY2026	FY2027	FY2028	FY2029
2026-01-01	2027-01-01	2028-01-01	2029-01-01
2027-01-01	2028-01-01	2029-01-01	2030-01-01

	50.0%
	-
	2.0%
	1.60
	8.0
	-
	70.0%
ings (USD 000)	21,313
USD 000)	16,079

FY2026	FY2027	FY2028	FY2029
10.8	13.0	21.3	25.0

FY2026	FY2027	FY2028	FY2029
1,248,192	1,298,120	1,350,044	1,404,046
38.5%	41.5%	43.0%	43.0%
662,856	696,000	730,800	767,340
28.7%	29.0%	29.0%	29.0%
125,000	200,000	250,000	275,000
(2.0%)	6.0%	6.5%	6.5%
197,164	201,107	205,129	209,232
18.4%	18.4%	18.4%	18.4%
355,372	369,587	384,370	399,745
20.0%	20.0%	20.0%	20.0%

FY2026	FY2027	FY2028	FY2029
1,375,000	1,245,000	1,245,000	700,000
	5.80%		
	109,836		
	#DIV/0!		
	#DIV/0!		
	#DIV/0!		
	-		

	9.0%
	1.0%
	4.0%
	151,367
	62,963
	8,860
	195,374
	50,526
	25,225
	30,297

	419,867
	301,462
	1,978,619
	1.25%
	272,134
3 in mid-2027 (US	251,985
	8.8%
	493,120
	5,073,902
	695,345
	19,434

51,368
341,000
5.0%
2.0%



he book lens)
31.0%
10.0%
70.0%
40.0%
25.0%
20.0%
15.0%

ulas pointing at the build that produces them, and they are on this sheet only so that

[Redacted]

[Redacted]

[Redacted]

No sovereign credit-default-swap entry exists for the United

[Redacted]

The Central Bank base rate of 3.65% was maintained at the

Very large crude carrier

9

1

[Redacted]

The handysize class is not broken out in the disclosure, so th

Q1 2026	Q2 2026
2026-01-01	2026-04-01
2026-04-01	2026-07-01

FY2030
2030-01-01
2031-01-01

GREEN, NOT BLUE. The running cost per vessel-day is not a

FY2030
25.0

FY2030

1,460,208

43.0%

805,707

29.0%

300,000

6.5%

213,417

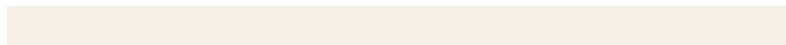
18.4%

415,735

20.0%

FY2030

650,000





every driver the model reads can be found in one place. Nothing here is a pasted result.

Arab Emirates in the country risk file, so the alternative rating-versus-swap premium basis cannot be b

29 July 2026 decision; the last change was a 25 basis point cut from 3.90% on 10 December 2025.

ie medium-range rate stands in for it throughout, and the gap is flagged. The 2024 quarterly rates for th

an assumption: it is solved on the Segments sheet so that the same construction reproduces the tanker e

uilt for this country; one basis is published rather than two.

e medium-range class are not disclosed either, so its 2025 average stands in on both sides of the mid-cyc

arnings the company actually reported for 2025. The same is true of the gas-carrier day rate, the three c

le average.

lays ratios and the opening net working capital immediately below.